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“

Branding is what people say about you when you are not in the room.

”



-Jeff Bezos



give developers more control over intelligence, speed, and cost.

4. “Claude is built with Claude”

What really spooks the industry—is it that Claude Code/Cowork and Opus 4.6 can do so much and potentially put many out of work, or is it the fact that Anthropic keeps reiterating that Claude is built with Claude? At every opportunity, the company’s senior spokespeople make it very clear that more than 90% of the code at Anthropic is written using Claude Code. The company also claims to have **built Claude Cowork in just 10 days using Claude Code!**

An AI agent with 11 plugins spanning various functions and verticals developed in 10 days—that is startling. It simply means that a lot can be done in less time and, obviously, with fewer people. Does this put all coders at risk of losing their jobs? No, companies still need engineers and developers to oversee and control the AI systems. Also, a human mind thinks in ways that no machine can (to date). However, entry-level coders and specialists, who have very niche skills, may face problems keeping their job. Companies, including Anthropic, have now revealed that they **prefer hiring generalists over specialists**. Developers need to step back, take a broader view, and focus their time and skills on the creative aspects of design and development, as AI can handle the routine tasks. So, engineers need to upskill in the skills required to work effectively with AI. The educational system also has to revisit its syllabi to empower future generations with what is required to survive in the AI-powered tech world.

This trend tends to threaten not only developers but also IT services firms, which have for a long time been billing based on man-hours. No wonder stocks of such firms across the world took a beating following Anthropic’s announcements in early February. In reality, this was

waiting to happen. Claude was a tipping point. The rapid rise of AI over the past year or two made this outcome inevitable. But does this mean IT services companies, especially those in India, will no longer have a role? Certainly not. Did the rise of email and instant messengers make post offices obsolete? The number of post boxes in a neighbourhood may have decreased, but post offices continue to operate, offering new services and modified operations. Likewise, **tech companies now need to reinvent themselves, right from the roles they play to the business models**. But they will continue to exist and support companies’ operations worldwide.

In a note titled *India IT Services: Looking through the AI fog 2 - Discounted for extinction? Div/FCF yields at crisis levels*, JP Morgan’s Asia Pacific Equity Research Team argues that AI is unlikely to replace IT services companies in the near future. Instead, it will be another tool to help them deliver more within constrained budgets. The report says it is too simplistic to assume that AI can automatically create enterprise-grade software and replace the integration and customisation work done by **IT services companies, which it describes as the “plumbers of the tech world,” recognising their role in making complex systems work smoothly in large organisations**. The report also says that the growth of AI will create new opportunities for IT services and support, including modernising legacy systems, rewriting customised software-as-a-service (SaaS) applications where required, building AI agents for operations, ensuring trust and reliability in AI systems, and integrating physical AI solutions.

As of the time we write this article, we see the stocks of global and Indian IT firms fluctuating significantly. Those who take this as a wake-up call and shake up their businesses will be the ones who survive this storm. **EFY**